Local Government Reorganisation: What Does the Latest Update Mean for the Wider Public Service Supply Chain?

Local government reorganisation (LGR) is about much more than changing council boundaries, creating unitary authorities or deciding how many councils an area should have.
It has the potential to reshape how public services are commissioned, how funding flows through local economies, how partnerships operate and how thousands of organisations deliver support to communities.

The latest Government announcement on 29 October 2026 provides a further indication of the direction of travel. Ministers have confirmed that they are minded to proceed with reorganisation in five areas, while 15 other areas remain under review. Final decisions on the five areas will follow a minimum three-week period for further representations, with outcomes for the remaining areas expected by early 2027.

The five areas where the Government is minded to proceed are East Sussex and Brighton and Hove, Gloucestershire, Oxfordshire, Warwickshire and Worcestershire. Meanwhile, Derbyshire and Derby, alongside several other areas, must continue to navigate uncertainty about their future structures.

The Government has also confirmed that local elections in the affected areas will take place in May 2027 on existing council boundaries, with new councils expected to be established in 2029.

These developments reinforce an important point: local government reorganisation remains firmly on the agenda, but the pace, structure and implementation arrangements are evolving.
For councils, this presents an immediate challenge. For the wider public service supply chain, it presents both risks and opportunities.

1. Why the latest announcement matters

The Government's original ambition was to simplify local government structures, strengthen local leadership and support its wider devolution agenda.
However, the September 2026 review highlighted the need to reconsider aspects of the programme, including the approach, pace and legal robustness of previous decisions.

The latest announcement demonstrates that the Government intends to continue with reorganisation, while allowing further consideration of the remaining areas. This creates a more complex operating environment for organisations working with local authorities.

Some areas can begin preparing for a clearer future structure. Others must maintain existing services while waiting for decisions that could fundamentally change their commissioning relationships, governance arrangements and strategic priorities.
For suppliers and delivery partners, this means planning for change without if every proposed arrangement will proceed as originally envisaged.
The challenge is to remain commercially resilient while continuing to deliver high-quality public services.

2. The supply chain is much bigger than local government

When we discuss local government reorganisation, attention naturally focuses on council leaders, elected members, senior officers and the machinery of local democracy.
But councils sit at the centre of extensive networks of public, private and voluntary sector organisations.

These networks include:

- Employment support providers and employability specialists.
- Further education colleges, independent training providers and skills organisations.
- Housing associations, homelessness charities and supported housing providers.
- Adult social care providers and community health organisations.
- Children's services, youth organisations and family support providers.
- Voluntary, community and social enterprise organisations.
- Recruitment businesses, employers and economic development organisations.
- Technology suppliers, management consultancies and professional services firms.
- Local economic partnerships, business networks and specialist community organisations.

Many of these organisations depend directly or indirectly on local authority contracts, grants, referrals, partnerships, facilities or strategic relationships.

Others operate within programmes commissioned nationally but delivered locally, where effective relationships with councils are essential to achieving results.
A change in council structures can therefore have consequences far beyond the local government estate.
The central question is not simply which council will replace the existing authorities. It is how the transition will affect the entire ecosystem of organisations supporting residents, businesses and communities.

3. Commissioning and procurement: the transition could be significant

One of the most important implications concerns commissioning and procurement.
Where multiple councils are replaced by a larger unitary authority, the new organisation may inherit a substantial portfolio of contracts, grant arrangements, delivery partnerships and service specifications.
Over time, this could lead to changes in how services are designed, commissioned and managed.

Potential developments include:

- Consolidated commissioning
- Services previously commissioned separately by district, borough and county councils could be reviewed to identify opportunities for greater coordination, shared specifications or more consistent delivery arrangements.
- Changes to procurement pipelines
- Contract opportunities may be delayed, brought together into larger procurements or redesigned to reflect the priorities of a new authority.
- Greater emphasis on strategic partnerships
- Councils may seek fewer, more integrated relationships with providers capable of demonstrating how their services contribute to wider local outcomes.
- A review of existing contracts

Authorities will need to understand which contractual arrangements transfer to successor bodies, which require administrative changes and which may need further consideration under their terms and applicable procurement law.
These are potential consequences, not inevitable outcomes. The legal and contractual position will depend on the specific arrangements involved.
Nevertheless, providers should not assume that the commissioning landscape will remain unchanged.

For smaller organisations, particularly charities, community interest companies and specialist providers, the consequences could be especially important.
Larger contracts and more complex procurement processes can create barriers to entry for organisations without dedicated bid-writing, commercial or business development capacity.

There is an opportunity here for commissioners to develop procurement models that improve strategic coordination without inadvertently excluding the specialist organisations that often deliver the greatest value to particular communities.

4. Employment and skills: integration must translate into better outcomes

Employment and skills is an area where the consequences of reorganisation deserve particular attention.
Councils play different roles across employment support, economic development, adult skills, careers provision, employer engagement and support for residents facing complex barriers to work.

Their responsibilities and funding arrangements vary, but their ability to coordinate services can be critical to improving employment outcomes.
The wider landscape also includes the Department for Work and Pensions, strategic authorities, colleges, training providers, employers and specialist voluntary sector organisations.

Reorganisation creates an opportunity to bring these relationships together around a more coherent understanding of local need.
For example, a future unitary authority could potentially develop a more integrated approach to:

- ✓ Employment support and skills development.
- ✓ Employer engagement and local labour market intelligence.
- ✓ Support for care-experienced young people and other vulnerable groups.
- ✓ Services for people experiencing homelessness.
- ✓ Employment support for people with disabilities and health conditions.
- ✓ Adult education, vocational training and progression into work.
- ✓ Coordinated referrals between employment, housing, health and social care services.

However, structural integration alone will not deliver these improvements.
The risk is that organisational restructuring consumes management attention and resources while the practical work of integrating services is postponed.

Providers could face uncertainty over referral routes, local partnership arrangements, contract management and the future of existing delivery models. The opportunity is to use the transition to improve the participant journey rather than simply reorganise the institutions responsible for it.

For the employment and skills supply chain, the priority should be to demonstrate how services contribute to measurable outcomes: sustained employment, progression into better work, skills acquisition, improved wellbeing and reduced barriers to participation.
Providers that can demonstrate their contribution to wider local priorities may be better positioned to influence future commissioning decisions.

5. Housing, homelessness and health: protecting the connections between services

The implications extend well beyond employment.
Housing, homelessness prevention, public health, adult social care and children's services frequently depend on cooperation between multiple organisations.
For someone experiencing homelessness, for example, finding work may depend on securing stable accommodation, addressing health needs, accessing training and rebuilding confidence.

A young person leaving care may need coordinated support involving housing, education, employment and social services.
A person with a health condition may require support from employment specialists, health professionals and community organisations before they can sustain work.
These needs do not fit neatly into individual departmental structures.

Reorganisation could create opportunities to improve coordination, reduce duplication and establish clearer accountability for outcomes.
But there is also a risk that established relationships are disrupted as teams move, responsibilities change and new management arrangements emerge.
Smaller specialist organisations may find themselves having to rebuild relationships with new commissioners or navigate unfamiliar decision-making structures.

The organisations most at risk are not necessarily those delivering poor services. They may simply be those with limited resources to maintain relationships and adapt to changing administrative arrangements.

New authorities should therefore treat continuity of provision as a priority, particularly for residents whose needs are complex and whose progress depends on trusted relationships with frontline professionals.

6. The voluntary and community sector must not be overlooked

Voluntary, community and social enterprise organisations are an essential part of the public service supply chain.
They often provide highly specialised support, reach communities that statutory services struggle to engage and help residents navigate multiple systems.
Many operate on relatively small budgets, with limited reserves and significant dependence on grant funding or individual contracts.

For these organisations, uncertainty about future commissioning arrangements can create immediate financial and operational pressures.
A delayed decision about a contract, grant or partnership may affect recruitment, staffing, service capacity and the ability to plan ahead.
There is also a potential structural challenge.

Larger unitary authorities may seek to standardise commissioning arrangements across a wider geographical area. While consistency can be beneficial, a uniform approach may not always recognise differences in local need or the value of specialist provision.

The answer is not to resist every change.
Instead, councils should ensure that future commissioning arrangements preserve opportunities for smaller organisations, encourage collaboration and recognise the contribution of community-based services.

Practical measures could include:

- Early engagement with voluntary sector infrastructure organisations.
- Clear communication about future commissioning intentions.
- Appropriate contract sizes and proportionate procurement requirements.
- Longer-term funding where justified by service needs and available budgets.
- Consortia arrangements that enable smaller providers to work together.
- Recognition of social value, specialist expertise and community relationships.
- Meaningful involvement of service users and frontline organisations in service design.

A successful reorganisation should strengthen the local support ecosystem, not simply simplify the organisational chart.

7. The commercial implications for suppliers and delivery partners

For businesses operating within the public service supply chain, LGR requires a more sophisticated approach to commercial planning.
The transition may affect not only the organisation awarding a contract, but also the location of decision-making, the identity of the contracting authority, future procurement priorities and the relationships needed to secure business.

Providers should consider five practical priorities.

1. Review your existing contracts

Identify which local authorities commission your services, the contractual arrangements involved and any provisions dealing with reorganisation, assignment, novation, termination or changes to the contracting authority.
Where appropriate, seek legal advice before making assumptions about the consequences of structural change.

2. Map the future commissioning landscape

Understand the proposed council structures, the organisations involved in the review and the relevant strategic authority arrangements.
Identify where commissioning responsibilities currently sit and where future decisions may be made.
Do not assume that all services will automatically transfer to the same organisation or that every existing commissioning relationship will be retained.

3. Strengthen stakeholder engagement

Maintain constructive relationships with existing commissioners while developing an understanding of emerging leadership teams, service priorities and partnership arrangements.
Engagement should be based on evidence, shared outcomes and a clear understanding of local needs rather than simply identifying future procurement opportunities.

4. Protect financial resilience

Review cash flow, contract dependencies, renewal dates and exposure to delayed decisions.
Where a substantial proportion of income depends on local authority contracts or grants, scenario planning is particularly important.
Consider what would happen if a procurement were delayed, a funding decision changed or a contract extension took longer than expected.

5. Demonstrate strategic value

Providers should be able to explain how their services contribute to the wider priorities of local government.
That means moving beyond descriptions of activities and outputs to demonstrate outcomes, cost-effectiveness, prevention, social value and the contribution made to other public services.

The strongest proposition is not necessarily that a provider can deliver an existing service more cheaply. It may be that the provider can help a future authority achieve better outcomes through more effective coordination.

8. What about the economic development and business support ecosystem?

Local government reorganisation also has implications for the wider local economy.
Councils work with employers, business networks, investors, training providers and economic development organisations to support growth and improve local productivity.
Changes to council structures could lead to a review of economic development priorities, business support arrangements, employer engagement and the relationship between local authorities and strategic authorities.

There may be opportunities to coordinate investment, improve labour market intelligence and align skills provision more closely with employer demand.
However, local economic geography does not always align neatly with administrative boundaries.
People commute across council boundaries. Employers recruit from wider travel-to-work areas. Training providers serve multiple communities. Supply chains extend across regions.

A new authority must therefore avoid becoming inward-looking or treating its administrative boundary as the natural limit of its economic relationships.

The most effective approach will combine strong local accountability with collaboration across neighbouring authorities and strategic economic areas.
For businesses and providers, understanding these wider relationships will be just as important as understanding the new council structure.

9. The challenge of maintaining continuity while preparing for change

One of the most difficult aspects of the current position is the need to prepare for a future that remains uncertain in some areas.
The Government's September review required affected councils to pause implementation work associated with decisions announced in July, while the wider programme was reconsidered.

The latest announcement provides greater clarity for some areas, but others must continue to plan around unresolved decisions.
The Government has also confirmed funding arrangements from its £63 million capacity fund to help affected areas meet reorganisation costs.
This support is relevant, but the wider challenge is not simply financing the transition.

Councils must manage organisational change while maintaining services, supporting staff, protecting contractual relationships and preparing for future responsibilities.
Their suppliers and delivery partners face a similar challenge.
The risk is that uncertainty leads to defensive behaviour: providers delay investment, councils postpone decisions, partnerships become less ambitious and opportunities for improvement are lost.

An alternative is to distinguish between decisions that depend on the final structure and activities that remain valuable under any outcome.
For example, councils and partners can continue to improve service data, understand local need, review referral pathways, strengthen relationships with employers and identify opportunities to reduce duplication.

These activities can deliver immediate benefits while helping future authorities prepare for change.
The objective should be to maintain operational continuity without losing sight of the longer-term opportunity to improve public services.

10. What should councils and commissioners do now?

There are several practical steps councils can take to reduce disruption and strengthen their future commissioning arrangements.
First, communicate early and consistently. Suppliers, voluntary sector organisations and delivery partners need clear information about the implications of the latest decisions and the timetable for future developments.

Second, distinguish essential transition work from structural assumptions. Work that improves service quality, data, partnership relationships or financial management may remain valuable regardless of the final council configuration.

Third, engage the whole supply chain. Consultation should extend beyond major strategic providers to include smaller charities, specialist organisations, employers and community groups.

Fourth, assess the risks to service continuity. Particular attention should be given to services supporting vulnerable residents, where disruption can have serious consequences.

Fifth, review commissioning capacity. New authorities will need the commercial, analytical and relationship-management capabilities required to oversee complex services and make informed decisions about future provision.

Finally, establish a clear focus on outcomes. The success of reorganisation should not be measured solely by whether new structures are implemented on time or administrative savings are achieved.
It should also be assessed by whether residents experience better services, whether inequalities are reduced and whether local economies become more inclusive and productive.

11. A role for strategic advisory and delivery partners

The scale of the transition creates a potential role for organisations that understand both public policy and the practical realities of service delivery. Councils may need support with stakeholder mapping, service and provision mapping, commissioning strategies, market engagement, partnership development, performance frameworks and transition planning.

Providers may need to understand the emerging landscape, assess commercial risks, strengthen their propositions and identify opportunities to collaborate with other organisations.
The most useful support will combine strategic insight with operational understanding.

It will recognise that local government reorganisation is not an isolated governance exercise. It intersects with devolution, employment and skills policy, health, housing, economic development and the wider reform of public services.

For Compass Consult, this is an important area of focus: helping organisations understand the changing policy and commissioning environment and translate that understanding into practical strategies for partnership, service improvement and sustainable delivery.

Our objective remains helping councils and their partners navigate change while keeping residents and communities at the centre of decision-making.

12. The bigger question: what kind of public service system do we want?

Ultimately, the debate about local government reorganisation should extend beyond organisational structures.
Creating larger authorities does not automatically produce better services. Nor does changing boundaries necessarily lead to improved coordination, greater accountability or more efficient use of public money.

Those outcomes depend on how the new arrangements are designed, how commissioning decisions are made, how organisations work together and whether the needs of residents remain central.

There is a genuine opportunity to build stronger connections between local government, strategic authorities, employers, skills providers, health services, housing organisations and the voluntary sector.
Done well, reorganisation could help create a more coherent system in which services work together around the needs of individuals and communities.
Done poorly, it could generate years of administrative disruption, weaken established partnerships and divert resources away from frontline delivery.

The wider supply chain has a vital role to play in helping secure the better outcome.
Providers should not simply wait for new structures to emerge. They should contribute evidence, share practical experience, identify opportunities for

improvement and demonstrate how effective partnerships can deliver better outcomes.

Equally, councils and commissioners must recognise that their ability to deliver change depends heavily on the expertise, capacity and commitment of organisations beyond the council itself.

Conclusion: reorganisation must deliver more than new boundaries

The latest Government announcement confirms that local government reorganisation remains an important part of the wider devolution agenda, even as the programme continues to evolve.
For the public service supply chain, the implications are substantial.

Commissioning arrangements may change. Partnerships may need to be rebuilt. Contracting opportunities may emerge or be delayed. Providers will need to manage uncertainty while maintaining the quality and continuity of their services. But there is also an opportunity to rethink how local services are designed and delivered.

The challenge is to ensure that organisational change leads to better coordination, stronger local economies, more effective public services and improved outcomes for residents.

That requires councils, commissioners, businesses, charities and specialist delivery partners to work together from the outset.

The real test of local government reorganisation will not be how successfully we redraw the map. It will be whether the people and communities who depend on local services are better supported as a result.

For everyone working across local government, employment and skills, housing, health and the voluntary sector, that is the outcome worth pursuing.